The level of taxation

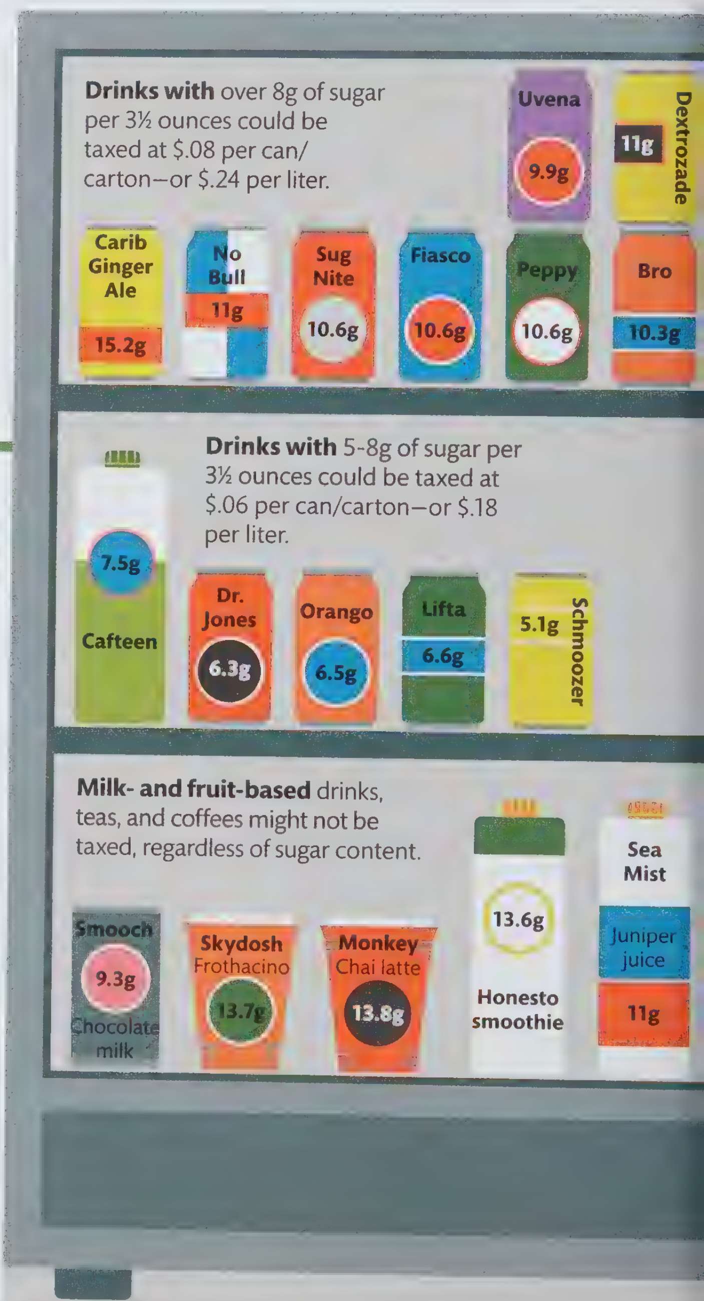
It is difficult for governments to establish how much tax to levy. Too low, and the government cannot provide the services people want. Too high, and people will be unwilling to pay the tax.

How it works

Governments can impose taxes on a person's earnings, their buildings and homes, savings and investments, pensions, inherited property, or on what they spend. Most governments rely heavily on income taxes, usually with different proportionate levels for different levels of earnings. This makes the tax system fairer, but introducing more complexity also increases the chances of tax avoidance. However, some taxes are levied in order to change behavior. By taxing something viewed as bad, such as tobacco or alcohol, the government can help to persuade people to consume less of those things.

Pigouvian taxes

Standard economic theory says that if consuming a good or service causes harm, a tax should be applied to it until the value of the tax matches the cost of the harm done. As shown to the right, a government could impose a tax on sugar to match the cost to public health services of obesity. In the US, some states tax sugary drinks, but the percentage varies.



NEED TO KNOW

- **Effective tax rate** Many tax systems allow different "reliefs"—such as investment relief to encourage investment. More than one tax may also be levied at once, for example income and corporation tax. As a result, the effective (average) tax rate may differ from the headline (basic) rate.
- **Marginal tax rate** Describes the additional tax paid from undertaking a small amount of extra activity—for example the extra tax paid in earning $1 more. Decisions made "at the margin" influence the behavior of individuals and businesses, such as whether it is worth working longer hours.
- **Gray economy** People who work for cash wages or fees and do not declare their income, in order to avoid paying tax.